when you can put on a 10 percent position and double the profits? The problem is that the larger the position, the greater the danger that trading decisions will be driven by fear rather than by judgment and experience. Vidich stresses, “Limit your size in any position so that fear does not become the prevailing instinct guiding your judgment.”

Flexibility is a key characteristic of superior traders. Vidich is a long-term bull in the energy markets, but he doesn’t let this view interfere with making the right trading decision. In 2008, when prices moved excessively on the upside, Vidich gradually transitioned from net long to net short. In the subsequent collapse in crude oil, Vidich repositioned himself back on the long side of energy equities once crude had fallen to about $90. But he soon realized that the changing fundamentals and market sentiment implied lower prices and reversed back to the short side. Crude oil prices and energy equities subsequently collapsed. Vidich’s flexibility in changing his trading opinion turned a potential major loss into a large winner.

Don’t make trading decisions based on where you bought (or sold) a stock. The market doesn’t care where you entered your position. When Vidich felt a stock that had just fallen all the way back to where he had bought it was going lower, he just got out, not letting his entry level affect the trading decision.

It you are going to control your losses, there will be times when you will get out just before the market turns around. Get used to it. This frustrating experience is an unavoidable consequence of effective risk management. Vidich’s discipline in “harvesting his losses” has made it possible for him to keep his maximum drawdown to single digits for over a decade and through two major bear markets. This impressive risk control, though, could only be achieved because Vidich was willing to accept the fact that he would sometimes end up liquidating losing positions right before they reversed dramatically, as had just happened to him in his long Google position.

[1]In the summer of 2011, Republicans refused to vote for an increase in the debt ceiling without commensurate spending cuts. President Obama had originally insisted on a package that also included some revenue increases, but ultimately agreed to a spending-cuts-only deal to avoid the looming possibility of the U.S. government running out of money to pay its bills—